

INTERIM STATEMENT TO SHAREHOLDERS GROUP UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2016

Consolidated Statement of Profit or Loss for the six months ended 30 June 2016

	30-Jun-16 Kshs'000	30-Jun-15 Kshs'000
Turnover	4,139,670	5,205,064
Profit from operations	1,758,367	240,321
Depreciation	(365,209)	(389,707)
Net finance costs	(202,106)	(496,955)
Profit/(Loss) before income tax	1,191,052	(646,341)
Income tax credit/(expense)	122,798	(29,790)
Profit/(Loss) for the period	1,313,850	(676,131)
Profit/(Loss) attributable to:		
Equity holders of parent company	1,394,132	(606,678)
Non-controlling interest	(80,282)	(69,453)
Profit/(Loss) for the period	1,313,850	(676,131)
Basic and diluted earnings per share	4.97	(2.16)

Consolidated Statement of Cash flows for the six months ended 30 June 2016

	30-Jun-16 Kshs'000	31-Dec-15 Kshs'000
Cash generated from/ (used in) operations	559,475	(679,278)
Dividends paid	-	(40,028)
Income taxes paid	(20,716)	(87,838)
Cash generated from/ (used in) operating activities	538,759	(807,144)
Cash used in investing activities	(204,652)	(896,022)
Cash (used in)/ generated from financing activities	(339,739)	1,755,215
(Decrease)/ Increase in cash and cash equivalents	(5,632)	52,049
Cash and cash equivalent at 1 January	(402,711)	(454,760)
Cash and cash equivalent at:	(408,343)	(402,711)

Consolidated Statement of Financial Position as at 30 June 2016

	30-Jun-16 Kshs'000	31-Dec-15 Kshs'000
Assets		
Non-current assets	12,926,094	13,104,427
Current assets	6,787,622	8,713,554
Total assets	19,713,716	21,817,981
Equity and liabilities		
Share capital	140,142	140,142
Reserves	2,669,288	1,324,151
Non-controlling interest	1,977,653	2,081,477
Non-current liabilities	3,883,280	4,437,135
Current liabilities-convertible bond	4,044,088	6,083,468
Other current liabilities	6,999,265	7,751,608
Total equity and liabilities	19,713,716	21,817,981

Consolidated Statement of Changes in Equity for the six months ended 30 June 2016

	30-Jun-16 Kshs'000	31-Dec-15 Kshs'000
Share capital	140,142	140,142
Share premium	565,101	565,101
Revaluation reserve	1,538,394	1,538,394
Available for sale reserve	314,067	314,067
Revenue reserve	234,525	(1,015,597)
Exchange reserve	17,203	(77,814)
Total equity attributable to equity holders of company	2,809,432	1,464,293
Non-controlling interest	1,977,653	2,081,477
Total Equity	4,787,085	3,545,770

RESULTS

TransCentury Limited ("TCL" or "the Group") announces its financial results for the six months period ended 30 June 2016. Despite a decline in revenues, the Group ended the half year in a profitable position compared to the same period last year. The Group's earnings were positively impacted by (1) the recognition of write back on convertible bond following the successful resolution in March 2016, (2) lower interest costs due to reduced non-trading debt and (3) foreign exchange gain following the recovery of regional currencies against the United States Dollar.

DIVIDEND

The Board of Directors do not recommend payment of an interim dividend.

OUTLOOK

The outlook remains positive as the underlying fundamentals of our core businesses remain strong. The Group is poised to report improved performance in the second half of the year as we continue on a growth trajectory with a growing order book in our Power Division and a strong pipeline of Engineering projects.

In Power Division, we see a strong demand in our primary markets with continuation of electrification programs and development of infrastructure projects in the region. The enhanced capacity and improved efficiency in our production plants was indeed timely and puts us in a strong position to meet the increased demand.

In the Engineering Division, we continue to enhance our capacity to execute and anticipate sustained growth in investment in infrastructure projects in the region with our businesses well positioned as the local service providers of choice in specialized engineering. The development of nascent mining sector leading to new mine builds in the region continues to be an area of growth for the Group.

An area of priority for the Group is broadening our markets to increase capacity utilization and improve the efficiency in operations as we uphold the exceptional quality of our products and services. We continue implementing prudent financial stewardship including better working capital management to support revenue growth in line with the increased factory capacities and project execution capability.

By Order of the Board
Virginia Ndunge, Company Secretary
Nairobi
29 August 2016